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IT is hereby notified that the Securities and Exchange Commission, in terms of section 65(3) of the Securities and Exchange Act [*Chapter 24:25*], has approved rules made by the Zimbabwe Stock Exchange:—

PART I

PRELIMINARY

Title

1. These rules may be cited as the Securities and Exchange (Zimbabwe Stock Exchange Membership) Rules, 2026.

Interpretation

2. In the rules–

"advertisement" means any written, printed, electronic or oral communication, including a communication by means of

a public radio service, television broadcast or any other media by a securities dealer, which communication is directed to the general public, or any section thereof, or to any client, and is intended to call attention to, or to market or promote, the services offered by a securities dealer, and which does not purport to provide detailed information about such services;

"near relative" (immediate family) means—

(a) in relation to an individual—

(i) a member of the individual's immediate family; or

(ii) the trustees of a trust of which the individual himself or a member of the individual's immediate family is a beneficiary, other than a trust which is either an occupational pension scheme or an employees' share scheme which does not, in either case, have the effect of conferring benefits on the individual or members of the individual's immediate family; or

(iii) any other natural person who ultimately owns or controls the rights to or benefits from property, including the person on whose behalf a transaction is conducted; or

(iv) a corporate body in whose equity securities the individual or any person or trust referred to in (i), (ii) or (iii) are directly or indirectly beneficially interested or have a conditional, contingent or future entitlement to become beneficially interested and would, on the fulfilment of the condition or the occurrence of the contingency, be able—

A. to exercise or control the exercise of 20 *per centum* or more of the votes capable of being cast at general meetings on all, or substantially all, matters; or

B. to appoint or remove directors holding a majority of voting rights at board meetings on all, or substantially all, matters; or

(v) any corporate body in which the individual or a member of the individual's immediate family are beneficially interested, where the individual or member is able to exercise or control the exercise of 20 *per centum* or more of the votes capable of being cast at members' meetings on all, or substantially all, matters;

(b) in relation to a corporate body, means—

(i) its subsidiary, as defined in section 185 of the Companies and other Business Entities Act [*Chapter 24:31*]; or

(ii) any company of which the body corporate is the single largest shareholder; or

(iii) its holding company, as defined in section 185 of the Companies and other Business Entities Act [*Chapter 24:31*]; or

(iv) where the body corporate is itself a subsidiary of a holding company, as defined in section 185 of the Companies and other Business Entities Act [*Chapter 24:31*], any other such subsidiary of the same holding company; or

(v) any person who has power, directly or indirectly, to control the body corporate's management or policies; or

(vi) any trust that the corporate body and any other corporate body referred to in subrules (i) and (ii), individually or taken together, have the ability to control 20 *per centum* of the votes of the trustees or to appoint 20 *per centum* of the trustees, or to appoint or change 20 *per centum* of the beneficiaries of the trust;

"Associate" means—

(a) a near relative of the person, unless the Registrar is satisfied that neither person acts in accordance with the directions, requests, suggestions or wishes of the other;

(b) a partner of the person, unless a court or the Registrar is satisfied that neither person acts in accordance with the directions, requests, suggestions or wishes of the other;

(c) a partnership in which the person is a partner, if the person, either alone or together with one or more associates, controls fifty per centum or more of the rights to the partnership's income or capital;

(d) the trustee of a trust under which the person, or an associate of the person, benefits or may benefit;

(e) a company which is controlled by the person, either alone or together with one or more associates;

(f) where the person is a partnership, a partner in the partnership who, either alone or together with one or more associates, controls fifty *per centum* or more of the rights to the partnership's income or capital;

(g) where the person is the trustee of a trust, any other person who benefits or may benefit under the trust;

(h) where the person is a company—

(i) a person who, either alone or together with one or more associates, controls the company; or

(ii) another company which is controlled by a person referred to in subparagraph (i), either alone or together with one or more associates;

"authorised user" means a representative of a Securities dealing firm registered with the ZSE, with access to the Automated Trading System for purposes of executing trades;

"Automated Trading" System (ATS)" means the software, hardware, communications and network systems, which are used to carry out transactions or other operations related to transactions on the ZSE;

"business day" means any day except a Saturday, Sunday or any public holiday;

"CFA Code" means the code of ethics and standards of professional conduct issued by the CFA Institute;

"circuit breaker" means the allowable daily price movement on a security or index prescribed by the ZSE from time to time;

"client" means—

(a) any person to whom a member provides licensable activity in terms of the Act; and

(b) a person that acts as an agent for a client accessing licensable activities, where the contractual arrangement between the parties indicates this to be the intention;

"contract note" means a legal record by a member confirming trades executed on the ZSE;

"broker-controlled client" means a client whom a member exercises control over their securities and funds;

"corporate action" means an action taken by an issuer or any other entity or by a third party which affects the holders of securities in terms of entitlements or notifications;

"custodian" means the holder of a securities (custody) licence;

"defaulter" means a member who is unable to meet its financial or other commitments to another member(s), the ZSE or a client arising out of a dealing in securities or a ZSE instruction and ZSE has declared that person as such;

"discretionary mandate" means an autonomous mandate given by a client to a member either to buy or to sell securities but not a mandate for buying and selling under the same instruction;

"halt" means the temporary stoppage of trading on one or more securities and or the entire market during a trading session;

"institutional client" includes statutory and corporate bodies managing pension funds and regulated by IPEC, and corporate bodies licensed by Securities and Exchange Commission of Zimbabwe;

"key personnel" in relates to a securities dealer, compliance officer and director of a security dealing company holding at least 10 *per centum* shareholding;

"market halt" means the stopping of trading in all listed securities during a trading session;

"member" means any company or individual who has been admitted in terms of Part III;

"off market transaction" means a transaction in a listed security outside the ZSE platform;

"open transaction" means is a transaction which has been executed through the ZSE and not settled;

"order" means an instruction from a client to buy or sell securities or an instruction to amend or cancel a prior instruction to buy or sell securities;

"post-closing session" means a period not exceeding 2 hours determined by the ZSE and reckoned from the time of closing of a trading session to allow for any trading adjustment or cancellations;

"principal officer" Securities dealer and compliance officer;

"record date" means a cut-off date set out by a corporate body to determine which security holders are eligible to receive a dividend or any other entitlement associated with the security;

"regulated services" means services which the ZSE authorises members to perform;

"security halt" means the temporary stopping of trading in a particular security during a trading session other than by reason of suspension of that security with the objective

of maintaining a fair, efficient and orderly securities trading environment;

"settlement authority" means a Central Securities Depository established or appointed to ensure that securities traded on the ZSE are settled;

"settlement date" means the date on which the transaction is due to be settled;

"sponsoring services" means the expertise of advising, guiding and educating issuers of securities on the ZSE on their obligations under the listing rules;

"trading services" means the execution of transactions in securities by a member—

(a) for the member's own account; or

(b) on behalf of a client;

"unsolicited call" means any communication made to a person by a member or an employee of a member, without an express or tacit invitation from such person;

"unwinding of trade" means reversing a securities transaction through an off-setting transaction in the market.

PART II

Authority of Zse

General powers of ZSE

3. Subject to section 65 of the Securities and Exchange Act [*Chapter 24:25*], the ZSE has authority to carry out the following functions—

(a) approve, review, suspend or terminate membership;

(b) prescribe from time to time the membership requirements with which an applicant must comply;

(c) suspend, alter or cancel membership before or after an application has been granted;

(d) approve the appointment of securities dealers and compliance officers for members;

(e) institute disciplinary action against members;

(f) prescribe the circumstances under which membership must or may be suspended or terminated;

(g) impose fees, fines and fines in accordance with the penalties and fees framework;

(h) issue directive, guidelines and practice notes;

(i) prescribe the general conduct of ZSE members; and

(j) publish any action taken in terms of these rules.

PART III

MEMBERSHIP

Membership requirements

4. (1) In addition to the requirements provided for in the Third Schedule of Statutory Instrument 100 of 2010, the general requirements for ZSE membership admission as a securities dealer for individuals are as follows—

(a) fit and probity assessment;

(b) an examination on capital markets set by the ZSE;

(c) a referral letter from a securities dealing company, which must be a member in good standing;

(d) make an annual declaration of business and commercial interest by 31st January of each year;

(e) not serve as an Executive or Non-Executive Director of a ZSE Listed entity unless they have retired as members or are non-practising members; and

(f) attain a minimum of 40 hours of continuous professional development ("CPD") annually as approved by the ZSE.

(2) Persons with relevant experience in operations or regulation of securities exchanges and securities regulations and dealings may be exempted from provisions in subrule (1).

Securities dealing company requirements

5. To be admitted as a securities dealing company and to remain as such, an applicant must, in addition to the requirements for the

licensing of a security dealing company provided in paragraph 3 of the Third Schedule of Statutory Instrument 100 of 2010—

(a) be licensed by the Securities and Exchange Commission of Zimbabwe;

(b) ensure that a director who directly or indirectly holds any shareholding in the applicant complies with the fit and proper requirements of the ZSE; and

(c) employ adequate resources, procedures and systems that are necessary for—

(i) the effective performance of the regulated services that it provides; and

(ii) ensuring compliance with the Act and the rules and directives that are relevant to the performance of such regulated services;

(d) on admittance and at all times thereafter—

(i) ensure that it maintains adequate financial resources to meet its business commitments and to withstand the risks to which its business is subject; and

(ii) hold liquid capital which complies with the minimum requirements as prescribed by ZSE from time to time.

Membership categories

6. The ZSE shall maintain both individual and corporate members as provided for in rules 7, 8 and 9.

Individual securities dealing membership

7. (1) The categories of individual securities dealers shall be as follows—

(a) practising member who is an active member pursuing the business of securities dealing on a full time basis;

(b) associate member—

(i) who is not employed by a securities dealing company registered with the ZSE but may channel

or direct business to a securities dealing company under terms disclosed to the ZSE; and

(ii) whose role shall be the provision of advice to clients on behalf of a securities dealing company registered with the ZSE;

(c) non-practising member.

(2) The roles of a practising member shall be—

(a) the execution of trades on the ZSE;

(b) the provision of advice to clients; and

(c) ensuring the settlement of trades executed.

(3) Where an associate member or non-practising member engages in an activity for which he or she is not authorised the member shall be liable to a penalty specified in the Third Schedule.

Securities dealing company membership

8. The roles of a securities dealing company shall be—

(a) the execution of trades on the ZSE on behalf of clients or for its own account;

(b) the provision of advice to clients and prospective clients on the buying and selling of securities on the ZSE;

(c) provision of sponsoring services; and

(d) ensuring the settlement of trades executed on behalf of their clients or on their own account.

Registration of market makers

9. To be registered as a market maker for a given security, an applicant must, over and above the requirements in rule 4(1), submit written consent from the relevant regulator.

Termination of registration

10. (1) Registration can be terminated in the following ways—

(a) voluntary termination of registration where a member gives at least thirty days' written notice to the ZSE;

(b) involuntary termination of registration where a member—

(i) is placed in liquidation, whether provisional or final; or

(ii) is placed under business rescue proceedings; or

(iii) fails to comply with these rules.

(2) Where a member requests for voluntary termination in terms of subrule (1) the ZSE may—

(a) accept such termination unconditionally; or

(b) require the member to first meet certain conditions before terminating.

(3) There shall be no entitlement to a refund of any portion of the fees paid to the ZSE by a participant upon the suspension or termination of the participant's registration.

Pricing by market maker (*maximum spread*)

11. (1) The maximum spread will be determined by the ZSE in consultation with the market maker for each designated security and communicated to the market by the ZSE from time to time taking into account the unique characteristics of each security.

(2) The maximum spread will be determined with reference to the last traded price. In the event there is no last traded price, the maximum spread shall be calculated with reference to the international price.

(3) No market maker shall trade outside the specified maximum spread.

Roles of market makers

12. The market maker shall have the following roles—

(a) to maintain executable orders on both the buy and sell side, for each specified security it is registered to make the market for, at all the agreed times until the agreement is reached;

(b) keep its market making activities separate from other trading activities. For this purpose, the market maker shall open a separate accounts and records for market making activities;

(c) provide liquidity for the designated contracts that they are market making;

(d) ensure that all trades that are executed are cleared and settled;

(e) ensure and maintain at least the following—

(i) a risk disclosure form signed by clients;

(ii) a complaints register; and

(iii) proper records of clients' transactions and information;

(f) continuously provide professional training or human development programmes to personnel within its organisation;

(g) disclose all conflict of interest that may arise during the course of its operations and provide written policies on how such conflicts will be managed;

(h) disclose details of all its other businesses, if any.

Trades by market maker

13. (1) The market maker shall on a daily basis report details of all trades they execute on the ZSE and no trades by a market maker shall impact closing prices.

(2) Notwithstanding subrule (1), trades by a market maker may impact closing prices when there are no trades on the market.

General provisions relating to market maker

14. (1) There may be as many market makers at any time per any specified security.

(2) The holder of a market maker licence issued by the ZSE shall not transfer it to any other person.

(3) A market maker who intends to exchange or transfer one or more specified securities to another market maker in exchange for consideration, shall submit a proposal in writing to the ZSE for approval.

(4) The ZSE shall publish and regularly update the list of market makers and relevant information relating to their activities.

Waiving of rules regulating market makers

15. (1) Where there are wide price movements in a particular security, the ZSE may on the request of a market maker, suspend or vary the market maker's obligations.

(2) The ZSE may waive any of the terms of the agreement with the market maker if it is of the opinion that such waiver is warranted.

Application process

16. (1) An application for membership to perform one or more regulated services shall be made to the ZSE in the form and manner prescribed in the First Schedule and shall be accompanied by—

(a) such fee as may be prescribed by the ZSE from time to time; and

(b) such documents and information as may be prescribed in these rules or as the ZSE may reasonably require.

(2) The ZSE must notify the applicant in writing of its decision and of any conditions that are required to be met, within thirty (30) days from the date of submission of the application.

(3) Any person who is aggrieved by the decision of the ZSE may appeal to the Commission in terms of section 108 of the Act.

Changes in control of member

17. Any person who wishes to acquire at least 20 *per centum* ownership of an existing member must notify the ZSE and seek approval in writing fourteen (14) days prior to the proposed date of acquisition.

Ownership of member firms by listed companies

18. (1) Where a securities dealing company is affiliated or owned by a listed company such relationship should be disclosed to the ZSE.

(2) The securities dealing company shall disclose all trading activity it conducts in the shares of a listed parent or associated firm after each trade.

(3) Any breach thereof will result in penalties as specified in the Third Schedule.

Member's duty to furnish information

19. A member must within 48 hours, notify the ZSE in writing of—

(a) any change in the name or address of any office, and of any change in the member's contact details; and

(b) the granting of an application for, or the revocation of, any registration, authorisation or licence which may bear upon or be associated with its business as a member of the ZSE; and

(c) any court proceedings against the member; (any court proceedings against the member related to his or her licence activities or that may have a negative bearing on his or her membership status); and

(d) any change to the appointment of a compliance officer, a securities dealer, a director or any change in key personnel; and

(e) any change in the name of a nominee company; and

(f) any event or circumstance which has or may have any bearing on whether an officer or a director, fails to meet the fit and proper requirements as stipulated in these rules;

(g) the dismissal or resignation of a key personnel and the reasons thereof;

(h) any change in circumstances which would reasonably affect conditions of licencing or continued membership.

Impersonation of membership

20. (1) No member shall hold themselves out as another member of the ZSE unless they are registered as such.

(2) A member must ensure that in its business relationships with other parties it does not facilitate other parties holding out or in any way misrepresenting that their activities are part of the business activities of the member or are subject to the rules, directives or regulation of the ZSE.

(3) Any person who contravene subrules (1) and (2) shall be liable to a fine not exceeding level four.

Suspension of membership

21. (1) The ZSE may suspend a member for a period not exceeding thirty days—

(a) due to non-compliance with these rules and any practice note or directive; or

(b) where a member makes a request to be suspended; or

(c) where a member conducts themselves in a manner that brings the market into disrepute;

(d) if in the opinion of the ZSE there is a need to maintain a fair and orderly market;

(e) where the member has been—

(i) placed under liquidation in terms of the Insolvency Act [*Chapter 6:07*]; or

(ii) placed under business rescue proceedings; or

(iii) if any other judicial proceeding or court application for an insolvency proceeding is initiated; or

(iv) the company files a resolution to such effect or has an insolvency administrator appointed to it; or

(f) where the member is declared a defaulter;

with conditions that the member must meet.

(2) Where the ZSE has suspended a member in terms of subrule (1) and the member fails to meet the conditions stipulated by

the ZSE, the ZSE may extend the suspension for a further specified period not exceeding twenty-one days.

(3) Where a member is suspended pending disciplinary process, the ZSE shall commence the disciplinary proceedings within twenty-one days from the date of suspension:

Provided that where, due to circumstances occasioned by the member, the disciplinary proceedings cannot be commenced within the twenty) days, the period within which the disciplinary proceedings must be commenced shall be calculated from the date the member caused the delay.

(4) Where a member is suspended pending disciplinary process, the ZSE shall finalise disciplinary proceedings within sixty days from the date of commencement of disciplinary proceedings:

Provided that where, due to circumstances occasioned by the member, the disciplinary proceedings cannot be finalised within sixty days, the period within which the disciplinary proceedings must be finalised shall be calculated from the date the member caused the delay.

(5) Where the member is suspended, they shall fulfil all outstanding obligations and comply with all conditions given by the ZSE.

Termination of membership by ZSE

22. (1) Membership may be terminated in the following ways—

(a) voluntary termination of membership where a member gives at least thirty days written notice; or

(b) involuntary termination where a member—

(i) has been found guilty after a hearing process; or

(ii) is placed under liquidation, whether provisional or final; or

(iii) is placed under business rescue proceedings; or

(iv) has contravened any provision of these rules or Act; or

(v) is declared a defaulter.

(2) Before termination of membership, the ZSE shall notify the affected member in writing that it proposes to terminate their membership and of the ZSE's reasons for proposing to do so and shall give the member a reasonable opportunity to make representations in the matter.

(3) The member will be bound by the rules until all obligations to clients have been met and all transactions settled.

Assumption of administrative control of securities dealing company

23. (1) The ZSE may assume administrative control of a securities dealing company if it considers it necessary to ensure that—

(a) the member meets all of its obligations to its clients timeously, including the return of client assets to the clients; and

(b) the member settles all transactions which have not been settled at the date of provisional termination of membership.

(2) Before assuming administrative control of a securities dealing company, the ZSE must—

(a) inform the member of the ZSE's intention to assume administrative control;

(b) give the member the reasons for the assumption of administrative control; and

(c) call upon the member to show cause within a period specified by the ZSE, which period should take cognisance to the circumstances and urgency of the matter, why administrative control should not be assumed by the ZSE.

(3) The ZSE may appoint one or more employees of the ZSE or an agent to exercise the supervision and control of the member's activities, at the member's cost.

Registration of securities dealers as automated trading system participants

24. (1) The ZSE may grant approval to execute trades on the automated trading system (ATS) where the securities dealer has undergone ATS examination as set by the ZSE.

(2) The ZSE may restrict access to the different types of securities a securities dealer may trade.

(3) The ZSE may suspend access of a securities dealer to the ATS in the following circumstances—

(a) where there is breach of any provision of these rules or the Act; or

(b) where there is suspension or cancellation of the securities dealer's licence.

PART IV

Supervision and Enforcement

Inspection

25. The ZSE may appoint any of its employees or any other persons to be inspectors for the purposes of investigating the business activities or any operations of any of its licensed or registered persons and exercising any other function conferred or imposed on inspectors under these rules.

Powers of inspectors

26. (1) Subject to rule 25, in the exercise of his or her functions under these rules, an inspector may—

(a) at any time during normal office hours, without previous notice, enter the premises of any participant or any premises in which it is believed on reasonable grounds that there is any security, books of accounts, record, account or document pertaining to the business activities or operations of such member;

(b) require any officer, employee or agent of a member to produce any security, books of accounts, record, account

or document pertaining to the business activities or operations of such member;

(c) search any premises referred to in paragraph (a) for any security, books of accounts, record, account or document pertaining to the business activities or operations of any member;

(d) in any premises referred to in paragraph (a)—

(i) open or cause to be opened any strong-room, safe or other container in which he or she suspects on reasonable grounds there is any security, books of accounts, record, account or document pertaining to the business activities or operations of the member;

(ii) examine and make extracts from and copies of any security, books of accounts, record, account or document pertaining to the business activities or operations of the member concerned;

(iii) examine all tools and relevant equipment to ensure that they are of the required standard;

(e) require any officer, employee, or agent of a member—

(i) to explain any entry in books of accounts, record, account or document pertaining to the business activities or operations of the member;

(ii) to provide the inspector with such information concerning the management, business activities or operations of member.

(2) Any person who fails to cooperate or hinders an inspector during the course of his or her duties shall be liable to a fine specified in the Third Schedule.

Investigation of members

27. (1) Where the ZSE has reasonable grounds to believe that a member has committed an offence in terms of the Act, these rules or any other law, it may institute an investigation of the member.

(2) For the purposes of an investigation in terms of subrule (1), the ZSE may appoint an inspector or inspectors and any such inspector or inspectors may exercise any of the powers set out below—

(a) seize any security, books of accounts, record, account or document pertaining to the management, business, activities or operations of a member which in his or her opinion may afford evidence of a contravention of these rules or irregularity;

(b) take control and secure the security which is the subject matter of the investigation:

Provided that—

(i) the inspector shall issue a full receipt for any security, books of accounts, record, account or document so seized, or security so secured and under the control of the ZSE;

(ii) any security, books of accounts, record, account or document so seized or security whose control and security is under the ZSE shall be retained only for so long as may be necessary for the purposes of the investigation;

(c) examine, whether under oath or otherwise, any person whom the ZSE deems necessary to examine;

(d) require any person referred to in paragraph (c)—

(i) to produce any security, books of accounts, record, account, document or thing to which he or she has access; and

(ii) to give any information which is at his or her disposal and which relates to the management, business activities or operations of the member concerned.

Procedure on completion of investigation

28. (1) Upon completion of the investigation the ZSE shall, produce a report of the investigation and where the ZSE is satisfied a criminal offence was committed it shall refer the matter to the police.

(2) If, after considering the report produced in terms of subrule (1) and the ZSE is satisfied that the member has contravened any term or condition of its, his or her licence, or any provision of the Act, or

any direction, requirement or order made under these rules, the ZSE may, do any one or more of the following—

(a) issue a warning to the person; or

(b) require the person to appoint someone who, in the ZSE's opinion, is qualified to advise the person, on the proper conduct of his or her business; or

(c) issue a written instruction to the person, or to undertake remedial action specified in the instruction; or

(d) impose a monetary penalty for each day that the contravention has continued; or

(e) instruct the person to remove any of his or her officers or employees from his or her duties; or

(f) direct the person to suspend all or any of his or her business; or

(g) appoint a supervisor to monitor the affairs of the person.

PART V

Management and Controls

Compliance officers

29. (1) Every securities dealing company shall appoint a compliance officer to assist the member in ensuring compliance by the member with the Act, these rules and the directives.

(2) A compliance officer shall—

(a) ensure compliance by the securities dealing company and its employees with the Act and these rules;

(b) report to the securities dealing company's risk, audit and compliance committee on all compliance issues as required by the Act; and

(c) report to the ZSE on the member's compliance with all directives and requirements of the ZSE.

(3) The appointment referred to in subrule (1) must be made simultaneously with an application to the ZSE to be admitted as a member.

(4) A securities dealing company shall ensure that a compliance officer post that becomes vacant is temporarily filled by a senior officer of the company who is not the chief executive officer who will assume the responsibilities of the compliance officer within three months from the date the compliance officer post becomes vacant.

Control of offices

30. (1) The primary place of business of a securities dealing company must be under the control of a securities dealer who must be an executive director of that company.

(2) A branch office of a member must be managed, at a minimum by a person with suitable qualifications as accepted by the ZSE.

(3) Where the position of a principal securities dealer becomes vacant, such position must be filled within three months of it having become vacant.

Internal control and risk management

31. (1) Every member shall employ the resources, procedures and technological systems necessary for the effective conduct of its business.

(2) Every member must have back-office systems that are compatible with the ZSE ATS and such systems should be accessible to the ZSE.

(3) The system of internal control of the member must ensure that—

(a) the relevant business can be carried on in an orderly and efficient manner;

(b) financial and other information used or provided by the member is reliable;

(c) all transactions and financial commitments entered into by the member are recorded and are within the scope of authority of the member or the employee acting on behalf of the member;

(d) there are procedures to safeguard the assets of the member and assets belonging to any other person for which the member is accountable, and to control liabilities; and

(e) there are measures to minimize the risk of loss to the member or the clients of the member.

(4) A member must adopt sound risk management principles and procedures appropriate to its business activities.

(5) The principles and procedures of risk management must be designed to ensure that the records of the member are maintained in such a manner as to promptly disclose financial and business information that will enable the member or the management of the member to—

(a) identify, quantify, control and manage the risk exposures of the member;

(b) make timely and informed business decisions;

(c) monitor the performance and all aspects of the business of the member;

(d) monitor the capital of the member to ensure compliance with the capital adequacy requirements imposed in terms of these rules; and

(e) monitor the quality of the member's assets.

PART VI

TRADING

Trading of securities

32. (1) The trading of all securities on the ZSE shall be conducted—

(a) through securities dealers; or

(b) directly through a system approved by the ZSE where the authorised person is not an employee or agent of a securities dealing company.

(2) All trading which is done in terms of subrule (1) shall be executed through the ATS.

Off market transactions

33. (1) All off-market transactions of listed securities are prohibited except in the following circumstances—

(a) successions;

(b) inheritances;

(c) donations.

(2) Any member who facilitates an off-market transaction shall be liable to a penalty not exceeding level three.

Trading times of securities

34. (1) The ZSE shall publish its trading—

(a) days;

(b) hours;

(c) sessions;

from time to time.

(2) For the purpose of trading on the ZSE, the time that shall apply is the time shown on the ATS.

Automated trading system

35. (1) Access to the ATS shall be by way of user identification (ID) allocated to members or individuals on such terms and conditions as the ZSE may determine.

(2) The ZSE may disconnect any user ID allocated to an approved user if continued access of the ATS by that approved user will affect the orderly conduct of the market.

(3) The ZSE may, from time to time, issue written directions and guidelines regarding the procedures to be followed in using the ATS.

(4) A member shall ensure that all employees that it allows access to the ATS are—

(a) sufficiently trained; and

(b) aware of all relevant rules and procedures.

Trading halt

36. (1) The ZSE may declare a halt in circumstances where—

(a) the ZSE determines that the trading activity in a security or securities—

(i) is being or could be undertaken by persons possessing unpublished price-sensitive information that relates to a security or securities;

(ii) is being influenced by a manipulative or deceptive trading practice;

(iii) may otherwise give rise to an artificial price for a security or securities; or

(iv) will lead to the market circuit breaker as set by the ZSE, being exceeded; or

(b) there is a technical failure of the ATS.

(2) No member may trade any security for the duration of the halt but may delete orders from the central order book.

(3) The ZSE may determine if it should cancel the orders in the order book at the time of halt and prior to commencing trading.

(4) In the event of a halt the trading hours of a market session or sessions may be shortened or extended at the discretion of the ZSE.

Cancellation of trades

37. The ZSE shall not cancel any trade on the market except the following circumstances where there—

(a) are system errors;

(b) are distortions on the price or volumes as a result of improper trading practices;

(c) is a violation of an existing law or regulation; and

(d) is just cause to cancel the trade:

Provided that no cancellation shall be effected after post-closing session.

Obligations of securities dealing companies

38. (1) Every securities dealer shall keep and maintain records of the date and time of receipt of each client order.

(2) The principal officer of the securities dealing company shall be responsible for the accuracy of details of orders entered into the ZSE ATS system in accordance with the procedures.

(3) It shall be the duty of the securities dealer to carry out the client's orders promptly in a manner best suited to serve the client's interest.

(4) Every securities dealer shall maintain all records pertaining to his or her operations including records of transactions undertaken for his or her own account, which may be in electronic or physical form in a safe place for a period of not less than ten years as from the date of the conclusion of the transaction.

(5) Any person who contravenes this rule shall be guilty of an offence and liable to a penalty not exceeding level 4.

General continuing obligations to members

39. (1) All members shall—

(a) at all times comply, and in the case of a corporate member, ensure that its representatives comply, with these rules;

(b) notify the ZSE immediately upon becoming aware that it has or any of its representatives have breached any provision of these rules;

(c) notify the ZSE of any changes of directors and key personnel;

(d) cooperate with any committee or members of staff of the ZSE in the performance by such committee or participant of staff of its respective duties;

(e) not submit information to the ZSE that it knows, or ought reasonably to know, to be false or misleading;

(f) be responsible for all orders entered into the automated trading system (ATS) by any way and shall become a party to each trade so executed;

(g) maintain records for all its operations including own and clients' positions;

(h) maintain adequate resources in accordance with the directive issued by the ZSE and in compliance with the directive issued by the Commission;

(i) comply with all relevant laws, regulations and circulars relating to combating of money laundering and terrorist financing;

(j) notify the ZSE immediately upon becoming aware that any regulatory body or institution is investigating or instituting proceedings against it;

(k) provide the ZSE with such contact information as the ZSE may require from time to time, and to immediately notify the ZSE of any changes to such information;

(l) submit annual audited accounts to the Commission and the ZSE within ninety (90) days from end of financial year; and

(m) comply with settlement authority rules.

(2) Members shall pay fees for services as specified in the Third Schedule.

(3) Annual fees shall be payable notwithstanding the suspension of a member's status.

(4) A member that fails to pay an annual fee within one month from the due date shall be suspended, unless after application by the member, ZSE grants an extension for payment, until such time as the total outstanding fees is paid, together with interest at overnight accommodation rate plus two *per centum*.

(5) Should a member not remedy the non-payment of fees within a further one month of the due date, as extended, the ZSE may terminate the defaulting member's registration and may pursue any outstanding fees and interest charges from such member.

ICT security for securities dealers

40. (1) Every member shall be responsible for taking appropriate and diligent security measures concerning its own personnel, physical

access to computers and other equipment connected to ZSE ATS and the confidentiality of usernames and passwords used to access the ZSE ATS computer system.

(2) The ZSE may suspend or withdraw user access to the ATS if a member fails to meet the provisions of subrule (1).

Acting on securities dealing company's instructions

41. (1) Instructions or communication from a securities dealing company shall be presumed to have been communicated by a securities dealing member.

(2) No liability shall attach to—

(a) the ZSE or to any board member or member of the ZSE's staff; or

(b) any committee, panel or working group of the ZSE, or to any member of such a committee, panel or working group;

in respect of loss or damage sustained by any person as a result of the *bona fide* exercise or performance of the functions of the ZSE, committee, panel or working group:

(3) Subrule (2) shall not be construed so as to prevent any person from recovering damages or compensation for loss or damage sustained by him or her which was caused by negligence or breach of contract.

PART VII

General Standards of Conduct for Securities Dealers

Prevention and detection of market abuse

42. (1) A securities dealer must monitor orders placed by clients through online platforms and must take reasonable steps to satisfy itself that such orders and any trades will not result in a breach of the provisions of all applicable legislation.

(2) A securities dealer's compliance monitoring procedures must specifically include procedures to monitor orders entered into, and transactions executed on the ZSE trading system by the member and

its employees, with the objective of identifying and taking appropriate action in relation to orders or trades that may constitute a breach of the provisions of all applicable legislation.

(3) In order to detect market abuse, the securities dealer must consider among other things the following—

(a) the identity of the parties to the transaction;

(b) the perceived intention of the parties to the transaction;

(c) the frequency and pattern of transactions over a period of time;

(d) the effect of the transaction on market prices or volumes;

(e) the size and timing of the transaction; or

(f) a combination of two or more of these factors.

Communication with clients

43. A member must have the necessary resources to ensure that he or she is accessible to his or her clients.

Unsolicited calls

44. (1) Where an employee or agent wishes to solicit for business he or she must ensure that the client understands the purpose of the call.

(2) Any employee or agent making an unsolicited call on a client who expresses no interest in continuing with the conversation must terminate the call forthwith.

(3) Unsolicited calls may be made on clients between 0900 hours and 1700 hours (Zimbabwean time).

(4) Any member or employee of a member who contravenes this rule shall be guilty of an offence and liable to a penalty up to level 1.

Marketing and advertising

45. (1) Securities dealers may advertise subject to compliance with the advertising code specified in the Second Schedule.

(2) A member shall not use in publicity, promotional material, or on its professional stationery, or on its name plates, or on its office premises, any designation other than that designation registered with the ZSE and shall state that it is a member of the ZSE.

(3) Member shall not publish or circulate any comments which relates to the trading results of a listed entity, or which may influence the price of listed securities of any entity unless it complies with the Second Schedule.

(4) Where a securities dealer issues a newsletter, circular or other publication carrying an expression of opinion on a listed security and the member has an interest in that security, the existence of such an interest shall be disclosed in such newsletter, circular or other publication.

Gifts and inducements

46. (1) Members shall not accept or make any inducements in respect of regulated services.

(2) A member shall develop a policy in relation to gifts to or from clients.

(3) Any member who contravenes this rule shall be liable to an offence and liable to a penalty not exceeding level 3.

Client acceptance and maintenance procedures

47. Every securities dealer shall ensure that it obtains and maintains sufficient information on each client trading account and each bank account operated by a client so as to be able to identify—

(a) the client;

(b) the person or persons responsible for placing instructions on the account;

(c) the clients physical and postal address;

(d) the clients telephone number; and

(e) legal status of the client.

Dealings on discretionary mandate

48. A securities dealer shall obtain prior written authorisation from a client to operate a discretionary mandate account.

Authorisation to transact on client accounts

49. A securities dealer shall ensure that instructions received on behalf of a client are coming from authorised personnel approved to give such instructions.

Transactions

50. (1) Every securities dealer shall transact its business in a just and equitable manner in terms of the Act, these rules and any directives.

(2) A securities dealer shall—

(a) warrant that any person employed by the securities dealer has full authority to act on its behalf;

(b) record any communication between the securities dealer, any of its employees and any client or potential client, and such recordings or transcripts may be submitted as evidence in any disciplinary proceedings involving the securities dealer or its employees;

(c) disclose to the client that communication in terms of paragraph (b) shall be recorded.

(3) Every securities dealer shall disclose to the ZSE its proprietary transactions on a monthly basis.

Best execution

51. When acting for a client in the purchase or sale of securities, a securities dealer shall at all times adhere to the best execution principle taking reasonable care to obtain the result which is the best available for the client.

Members' commission and fees

52. (1) A member may charge for different categories incidental to their business activities.

(2) Interest received by a member in relation to client funds held in a trust account must accrue and be payable by the member to the client after deduction of such administration fee or other charge as the member may determine, and such fees must be disclosed upfront.

(3) A member may enter into commission sharing agreements with other entities subject to the approval of such agreements by the ZSE and where a commission sharing agreement involves a foreign entity, such agreements shall also be approved by the Reserve Bank of Zimbabwe.

Rebates

53. A member may offer rebates on commission earned on trades executed on behalf of institutional clients' subject to the following conditions—

(a) the quantum of the rebate to be paid shall be approved by the ZSE;

(b) the institutional client benefiting from such rebate shall pay five percent of the rebate earned to the ZSE on a quarterly basis; and

(c) a formal agreement is executed between the member and the institutional client specifying the quantum of the rebate and the requirements of paragraph (b).

Contract notes

54. (1) In respect of a transaction in securities executed through the ZSE on behalf of a client, a securities dealer shall within 24 hours of the closing session—

(a) issue to the client a contract note; or

(b) transmit to the client a confirmation of the transaction.

(2) The contract note or confirmation referred to in subrule (1) shall disclose—

(a) name of the issuing member;

(b) name and address of the client;

(c) name of the security that is purchased or sold;

(d) the date of the transaction;

(e) the identification number of the transaction;

(f) the amount and nature of the charges in connection with the transaction;

(g) the price at which the transaction was executed and the total consideration due from or to a client; and

(h) the settlement date of the transaction.

(3) A member may issue contract notes or confirmation reflecting average prices in respect of transactions allocated to the accounts of the underlying beneficiaries in terms of subrule (2):

Provided that such contract notes or confirmation discloses the fact that the price is an average price and the member has notified the client or, if relevant, the agent appointed by the client that the prices and times of each transaction are available from the member on request.

Treatment of corporate actions

55. (1) The arrangement between a securities dealer and a broker-controlled client regarding issues pertaining to corporate actions shall be recorded in writing and as a minimum shall, incorporate the instructions from the broker-controlled client and the terms and conditions which will apply to the following issues pertaining to corporate actions—

(a) whether the client wishes to receive all company reports, proxy forms, notices, circulars, listing particulars and any other issuer communications, in respect of securities of which such client is a beneficial owner;

(b) whether the securities dealer is entitled and obliged to utilise its discretion in electing particular options in respect of all or certain corporate action events which require such an election to be made;

(c) whether the securities dealer may utilise its discretion in exercising voting rights on behalf of the client;

(d) the means of communication between the securities dealer and the client if the securities dealer is not granted discretion to act in respect of the issues referred to in paragraph (b);

(e) the date and time by which the client is required to make an election, if applicable; and

(f) the option which the securities dealer may elect if the client fails to advise the securities dealer of their election before the deadline specified in paragraph (e), if applicable. This could either be the default for election or the securities dealer may be entitled to utilise its discretion in electing a particular option.

(2) The securities dealer shall fully explain the provisions of the agreement referred to in subrule (1) to the concerned client.

Prohibition of acceptance of cash deposits

56. No securities dealer shall receive or accept a deposit of notes and coins from any person for the purposes of buying securities on the market.

Client statements

57. (1) A securities dealer shall provide—

(a) statements to their clients at least once every three months, unless the client consents in writing not to receive the statements;

(b) upon request by the client any reports needed on their trading account.

(2) A client statement must contain such information necessary to enable the client to determine the composition of the various securities comprising the portfolio of the client and the changes thereto over the reporting period, if applicable.

PART VIII

Professional Standards

Adoption of CFA Institute code of ethics and standards of professional conduct

58. (1) Securities dealers shall comply with the CFA Institute code of ethics and standards of professional conduct, or any other standards prescribed by the ZSE.

(2) Any member who contravenes this rule shall be liable to an offence and liable to a penalty not exceeding level four.

PART IX

DEFAULT

Default by member

59. (1) A member shall be deemed to be in default if the member is unable to meet its commitments to other members, the ZSE or a settlement authority.

(2) If a member is unable to meet its commitments in terms of subrule (1), the ZSE will declare the member to be in default.

Consequences of default

60. (1) Where a member has been declared a defaulter, the membership may be—

(a) suspended for a maximum period of six months and shall continue to comply with the continuing obligations required of a member; or

(b) terminated in terms of rule 22.

(2) The ZSE shall publish a notice to the effect that a member has been declared a defaulter.

(3) Without limiting or detracting any other remedies and rights which the ZSE may have against the defaulter, the ZSE may set off any amounts that may be due and payable from the ZSE to the defaulter against any amounts due and payable from the defaulter to the ZSE including penalties imposed by the ZSE.

(4) The defaulter may be required to hand over to the ZSE—

(a) such financial records of the member as ZSE deems necessary for the identification, protection and return of client assets and to facilitate the settlement of outstanding transactions in securities; and

(b) the control of all client assets, but the ZSE shall not withhold from the defaulter reasonable access to the financial records of such member.

(5) The ZSE shall recover any amounts due to the defaulter and pay any outstanding obligations due from the defaulter only to the extent that the available resources can cover.

Settlement of open transactions in securities

61. (1) To ensure settlement of open transactions by the defaulter ZSE may—

(a) require clients of the defaulter to meet their settlement obligations in respect of all open transactions executed on their behalf, or

(b) direct any funds held by the defaulter or its custodian to settle open transactions.

(2) Any costs incurred in the process of ensuring that settlement takes place will be met by the defaulter or recovered directly out of any funds or securities held by the defaulter or its custodian on behalf of the client.

PART X

COMPLAINTS

Complaints handling procedures

62. (1) Every member shall establish and maintain appropriate procedures for the handling of client complaints.

(2) A member's complaint handling procedures must provide for—

(a) the receipt of complaints;

(b) the investigation mechanism of complaints;

(c) an appropriate decision-making process in relation to the response to a client complaint;

(d) notification of the decision to the client;

(e) the recording of complaints; and

(f) notification of the right of appeal to the ZSE by the client.

(3) A member's internal complaint handling procedures must be designed to ensure that—

(a) all complaints are handled fairly, effectively and promptly;

(b) recurring or systemic problems are identified, investigated and remedied;

(c) complaints are investigated by an employee of sufficient competence who was not directly involved in the matter which is the subject of a complaint;

(d) the employee responsible for the resolution of complaints has the necessary authority to resolve the matter;

(e) relevant employees are aware of the member's internal complaint handling procedures and comply with them.

Resolution of client's complaints

63. (1) Where a member proposes that resolution of complaint in the form of compensation is appropriate in resolving a complaint, the member must provide the complainant with fair compensation and must comply with any offer of compensation made by it which the complainant accepts.

(2) Where a member proposes that redress in a form other than compensation is appropriate in resolving a complaint, the member shall provide the redress as soon as practicable.

Recordings of complaints

64. (1) A member must maintain a record of all client complaints and the record of each complaint must include—

(a) the identity of the complainant;

(b) the substance of the complaint; and

(c) all correspondence in relation to the complaint;

(d) the resolution of the complaint.

(2) The records must be retained by the member for a period of at least ten years from the date of resolution of the complaint.

(3) A member shall submit a report of all complaints handled by the member on a quarterly basis to the ZSE.

PART XI

Disciplinary Procedure

Misconduct

65. (1) The following acts and practices whether of commission or omission on the part of any person who at the time of the alleged act or practice was a member or employee of a member shall constitute misconduct, provided that the acts and practices so specified are not intended to be a complete list of acts and practices which may constitute misconduct—

(a) committing or attempting to commit any act which is dishonest or fraudulent;

(b) being a party to, or facilitating or conducting a transaction which is fictitious or has a dishonest or unlawful motive;

(c) contravening or failing to comply with any one or more provision of the Act, a rule or a directive;

(d) negligently or recklessly conducting the business or affairs of the member in such a way that actual or potential prejudice is, or may be, caused to the ZSE, any other member, a client of a member or the general public;

(e) failure by a member to implement adequate and reasonable safeguards to avoid prejudice to the ZSE, any other member, a client of a member or the general public may be treated, where appropriate, as constituting either negligence or recklessness; and

(f) knowingly obstructing the business of the ZSE or its members.

(2) Any act or practice which constitutes a misconduct according to the CFA Code of Ethics and Standards of Professional Conduct shall be a misconduct in terms of these rules.

Disciplinary committee

66. (1) The board shall, whenever an act of misconduct is alleged, appoint a disciplinary committee of not less than three members to arbitrate on disputes.

(2) Members of the disciplinary committee shall not include members of the ZSE.

Disciplinary procedure

67. (1) Where a member is alleged to have breached any of the rules and is either suspended or not, the ZSE shall notify the member in writing of his, her or its alleged misconduct citing the rules which he, she or it is alleged to have breached and require the member to respond to the allegations within seven days.

(2) Within seven days after the member has been served with a written notice in terms of subrule (1) he, she or it shall respond to the allegations and submit the response to the disciplinary committee.

(3) After the member has submitted a response to the disciplinary committee, the committee shall invite the member to attend a hearing within seven days from the date of his, her or its response.

(4) A member required to attend a hearing in terms of subrule (3) may bring with him, her, or itself a legal representative of their choice.

(5) The disciplinary committee shall, on the hearing date, adopt such procedures as it may determine, provided that it follows the rules of natural justice.

(6) After conducting the hearing, the disciplinary committee may recommend one or more of the following—

(a) lifting the suspension; or

(b) a reprimand by the Board; or

(c) the imposition of a fine; or

(d) terminate registration; or

(e) order payment of all or part of the ZSE's costs of the relevant investigation and disciplinary procedure; and

(f) any other penalty that the committee may find necessary.

(7) The decision of the disciplinary committee shall be that of the majority of the members.

(8) If the member is aggrieved by the decision of the ZSE, the member may appeal to the Commission.

Publication of particulars of transgressors

68. If the ZSE considers it appropriate to do so in the exceptional circumstances of a particular case, the ZSE may publish, in such manner and to such extent as it considers necessary and appropriate, the name of a person—

(a) who has been guilty of a contravention of the Act or these rules or who has failed to comply with a term or condition of his or her license; or

(b) whose license has been suspended or cancelled in terms of the Act or these rules; and may publish such particulars of the person and of the nature of the contravention or of the non-compliance, or the reasons for the suspension or cancellation, as the case may be, as the ZSE considers appropriate.

PART XII

Penalties

Payment of fines

69. (1) The ZSE shall charge fines as specified in the Third Schedule.

(2) If a person fails to pay a fee more than one week after it has become due, he or she shall thereupon become liable to pay the ZSE a surcharge of one hundred *per centum* of the unpaid amount, and interest at the overnight banking rate.

(3) The ZSE may, by written notice extend the date by which any fee or levy is payable, and in that event the period referred to in subrule (2) shall be calculated from that later date.

(4) Where a person has become liable to pay a surcharge in terms of subrule (2), the ZSE may serve a notice on him or her demanding payment of the overdue fee, together with the surcharge and any interest that may have accrued thereon.

PART XIII

Trading Procedures

Trading of securities

70. (1) The ZSE shall publish its trading—

(a) days;

(b) hours;

(c) sessions;

from time to time.

(2) For the purpose of trading on the ZSE, the time that shall apply is the time shown on the ATS.

Matching criteria

71. The criteria for execution during continuous trading are as follows—

(a) price priority—

(i) the highest bid and the lowest offer have precedence over all other orders;

(ii) orders are ranked by price sequence in the order book;

(b) time priority—

(i) when orders are placed at the same price, the earliest one takes priority;

(ii) if a hidden order is placed and the disclosed quantity is executed, the undisclosed quantity will lose its time priority;

(c) market orders—

(i) price is given the highest priority in the system, and the market orders will have priority over limit orders;

(ii) the ATS will attempt to match the order until either the entire volume is matched or no further matching is possible;

(iii) market orders are accepted only if there are orders on the other side;

(iv) if partial execution has taken place, the unexecuted balance quantity is queued as a limit order on last matching that is last execution price.

Types of orders

72. There are two types of orders that can be placed in the ATS—

(a) market orders;

(b) limit orders.

Market order

73. (1) A market order is an order to buy or sell a security at the best price or prices prevailing in the market at that point in time.

(2) No price is specified for this type of order, but volume must be indicated. Price is given the highest priority in the system.

(3) Market orders have priority of execution over limit orders. Market orders cannot be amended.

Limit orders

74. (1) This type of order specifies the maximum buying price or the minimum selling price. The volume of the order must be indicated.

(2) The ATS will attempt to match the order until either the entire volume is matched, or no further matching is possible within the limit price.

(3) Unless Fill or Kill (FoK), or immediate or cancel are specified, the unmatched volume will remain in the order book until the indicated expiration time.

(4) Limit orders can have the following attributes—

(a) qualifiers;

(b) time in force;

(c) disclosed or hidden quantity.

Qualifiers

75. Order qualifiers modify the execution conditions of an order based on volume, time and price constraints and the following are examples of order qualifiers—

(a) FoK—requires the immediate purchase or sale of a specified quantity, at a given price or better. If the whole order cannot be filled immediately, it is cancelled;

(b) Immediate or Cancel (IoC)—requires the immediate purchase or sale for the whole or part of the specified quantity at the specified or better price. If no immediate execution occurs the order is cancelled. If the order is partly executed, the remainder is immediately cancelled.

Time in force

76. Time in force limits the lifetime of an order in the order book. If an order does not indicate a time condition, it is only valid for the trading hour for a particular day on which it was input—

(a) good till cancelled (GTC)—this order remains valid till cancelled thirty days from the day on which it was input. The order is automatically cancelled by the system on the expiry date. GTC orders cannot have disclosed or hidden quantity and minimum fill attributes;

(b) good till day (GTD)—this order remains valid for a fixed number of days which should not be more than 30 days. If it is not executed within the validity period, it will expire at the end of the final day and be automatically deleted from the list of pending orders. GTD orders cannot have disclosed or hidden quantity and minimum fill attributes;

(c) day order—this order is valid until the close of the trading day. It is automatically cancelled at the end of the trading day.

Hidden order

77. A hidden order has the following characteristics—

(a) the order size is revealed at the disclosed quantity and not at the full order quantity;

(b) the disclosed quantity will cause execution to occur in blocks of disclosed quantity;

(c) hidden quantity will not be visible to the market;

(d) when the disclosed quantity is matched, a new order with the same initial volume is generated automatically.

This order will be given a new time stamp. The process will continue until the entire hidden quantity is matched or the order is cancelled or expired;

(e) disclosed quantity attribute is not valid for FoK or IoC orders;

(f) disclosed quantity attribute is only valid for day orders.

Tick size

78. The ZSE will determine the tick sizes for any security.

Floor price

79. The ZSE may determine the minimum price that can be traded on each security.

Price spread

80. (1) The ZSE will determine the maximum spread allowed for each trading day on each security.

(2) All orders outside the permissible spread will be rejected by the ATS.

Trading halts

81. (1) There are two types of trading halts—

(a) market halt; and

(b) security halt.

(2) A halt may be effected where one or more of the following events happen—

(a) the ZSE discovers that the trading activity in a security or securities—

(i) is being or could be undertaken by persons possessing unpublished price-sensitive information that relates to a security;

(ii) is being influenced by a manipulative or deceptive trading practice;

(iii) may otherwise give rise to an artificial price for a security; or

(iv) will lead to the market circuit breaker as set by the ZSE being exceeded;

(b) there is a technical failure of the ATS.

(3) Where, due to circumstances provided in subrule (2), the ZSE determines that there is need to halt trading, it shall notify members that all members should halt trading until such time as they are advised of the rectification of the issue.

(4) No member may trade any security for the duration of the halt but may cancel orders from the ATS.

(5) Any member who trades a security during the period of any halt shall be liable to a fine not exceeding level 2.

(6) In the event that trading in one or more securities is suspended at or around the time specified for the establishment of daily settlement prices, the ZSE may either—

(a) change times for that trading day; or

(b) set prices at levels it determines as a fair reflection of the market.

(7) In the event that trading in one or more securities is suspended, the ZSE may determine whether or not to resume trading for that day.

Order and trade adjustment

82. Where on the request of one party and subject to the consent by the other party, the ZSE may permit the adjustment of a trade.

Official price list and other market data

83. (1) The ZSE shall publish information on the prices, traded volumes, indices, and any other market data.

(2) No member shall be allowed to publish information on prices, trading volumes, indices, or other market data without obtaining prior approval from the ZSE.

(3) Any member who contravenes subrule (2) shall be liable to an offence and liable to a fine not exceeding level 2.

Daily settlement price

84. (1) The ZSE shall, on each trading day, determine and publish a daily settlement price for each class of security registered on the ZSE at that time.

(2) Where the daily closing price referred to in subrule (2) is not available, the ZSE shall determine the daily settlement price based on a fair value calculation which is consistent with cash market value.

Trading records

85. A member must maintain records of each trade made by its representatives for the member's own account for a period of not less than ten years from the date of such trade, containing—

(a) the time and date of receipt of instructions;

(b) the nature of the instructions received;

(c) the person who received the instructions;

(d) the time and date of execution of those instructions, and the person who executed the instructions; and

(e) any other information as determined from time to time by the ZSE.

Prevention and detection of market abuse

86. (1) A securities dealer's compliance monitoring procedures must specifically include procedures to monitor orders entered into, and transactions executed on the ZSE trading system by the member and its employees, with the objective of identifying and taking appropriate action in relation to orders or trades that may constitute a breach of the provisions of all applicable legislation.

(2) In order to detect market abuse, the dealers must consider, among other things, the following—

(a) the identity of the parties to the transaction;

(b) the perceived intention of the parties to the transaction;

(c) the frequency and pattern of transactions over a period of time;

(d) the effect of the transaction on market prices or volumes;

(e) the size and timing of the transaction; or

(f) a combination of two or more of these factors.

PART XIV

Dispute Resolution

Dispute resolution

87. (1) Where members have a dispute that affects operations on the ZSE, the aggrieved party shall submit a written report to the ZSE explaining the nature of the dispute.

(2) After receiving a dispute from a member, the ZSE shall facilitate a dispute resolution mechanism where the members choose to follow the dispute resolution mechanism.

(3) The dispute resolution mechanism referred to in subrule (2) that the parties may engage in are—

(a) conciliation; or

(b) mediation; or

(c) arbitration.

(4) In the event that the members have a dispute with regards to interpretation or obligations of the rules, the ZSE shall deal with the matter.

(5) Where a member is aggrieved by the decision of the ZSE, a member may appeal to the Commission in terms of section 108 of the Act.

(6) The procedure to be adopted during this resolution shall be as provided in the practice note issued by the ZSE.

First Schedule (*Rule 4*)

APPLICATION FOR MEMBERSHIP

1.1 The application for membership should be submitted through a formal letter addressed to the ZSE Chief Executive Officer and the letter shall contain the following—

(a) a statement that: "It is understood that the granting of membership pursuant to this application shall constitute a contract between (insert name of applicant) and the ZIMBABWE STOCK EXCHANGE ("ZSE") on a continuing basis and (insert name of applicant) undertakes to comply with the ZSE membership rules as they may exist from time to time.

(b) full name of the applicant.

1.2 The application letter must be accompanied by the following forms, where applicable—

(a) Individual Membership Application Form

PART 1: APPLICANT DETAILS	
Title	
Name	
Surname	
Date of birth	
National Identity number	
SECZim license number	
Nationality	
Residential address	
PART 2: EDUCATION AND OTHER QUALIFICATIONS OR EXPERIENCE	
Attach your curriculum vitae, transcript and certificates	
PART 3: EMPLOYEMENT DETAILS	
Name of current employer	
Physical address of current employer	
Designation	
Contact details of the current employer	
Contact details of immediate supervisor	
PART 4: FITNESS	
1. Have you ever been adjudged bankrupt?	YES / NO If yes provide details
2. Have you ever been a party to deal or arrangement with your creditors?	YES / NO If yes provide details

3. Are there any unsatisfied judgements outstanding against you? If so, give particulars	YES / NO If yes provide details
4. Have you at any time been convicted of any offence involving fraud or dishonesty	YES / NO If yes provide details
5. Have you ever been disqualified by a court from acting as a director of a company?	YES / NO If yes provide details
6. Are you currently the subject of an investigation by a regulatory or government authority?	YES / NO If yes provide details
7. Have you been expelled as an authorised user or otherwise or worked for an entity that was expelled by any securities exchange?	YES / NO If yes provide details
8. Have you been declared a defaulter by the ZSE or any other exchange?	YES / NO If yes provide details
9. Have you been refused entry to or expelled from any profession?	YES / NO If yes provide details
10. Have you ever been refused approval or had approval withdrawn in respect of any status by a regulatory board?	YES / NO If yes provide details
11. Attach police clearance report taken within 30 days prior to date of application submission.	
12. Document or information relating to financial condition.	VALUE OF ASSETS / VALUE OF LIABILITIES
FOR OFFICIAL USE	
Reviewed by:	Name…… Signature…… Date……

Recommended by:	Name…… Signature…… Date……

(b) Corporate Membership Application Form

PART 1: APPLICANT DETAILS	
Company name	
Registration number	
Date of incorporation	
SECZim license number	
Physical address	
Telephone	
Website	
E-mail address	
PART 2: DIRECTORS DETAILS	
Attach CR6 or equivalent	
PART 3: SHAREHOLDING	
Attach CR11 or equivalent	
Attach the ultimate beneficial owner details	
PART 4: KEY MANAGEMENT	
Attach CVs for securities dealers and compliance officer	
PART 5: FITNESS	
1. Attach ZSE Membership Certificates for at least two securities dealers	
2. Has the company ever been adjudged bankrupt?	YES / NO If yes provide details
3. Has any of your shareholders or directors ever been a party to deal or arrangement with creditors?	YES / NO If yes provide details

4. Are there any unsatisfied judgements outstanding against the company?	YES / NO If yes provide details
5. Does the company have any interest in any banking institution, insurer, asset management company or any other business?	YES / NO If yes provide details
6. Have any of your shareholders or directors at any time been convicted of any offence involving fraud or dishonesty?	YES / NO If yes provide details
7. Have any of your shareholders or directors ever been disqualified by a court from acting as a director of a company?	YES / NO If yes provide details
8. Is the company currently the subject of an investigation by a regulatory or government authority?	YES / NO If yes provide details
9. Have any of your shareholders or directors been expelled as an authorised user or otherwise or worked for an entity that was expelled by any securities exchange?	YES / NO If yes provide details
10. Has the company ever been declared a defaulter by the ZSE or any other exchange?	YES / NO If yes provide details
11. Has the company ever been refused entry to or expelled from any exchange?	YES / NO If yes provide details
12. Has the company ever been refused approval or had approval withdrawn in respect of any status by a regulatory board?	YES / NO If yes provide details
13. Financial information	Attach audited financial statements not older than 6 months

<table>
<tr><td>PART 5: DECLARATION BY DIRECTORS</td><td>The directors listed below<table><tr><td>Name</td><td>Signature</td></tr><tr><td></td><td></td></tr><tr><td></td><td></td></tr></table>declare that:
i. they have read the foregoing application and to the best of my knowledge and belief the statements made therein are correct; and
ii. consent to this application being made.</td></tr>
<tr><td colspan="2">FOR OFFICIAL USE</td></tr>
<tr><td colspan="2">Document checklist<table><tr><td>Document</td><td>Yes/No</td></tr><tr><td>Memorandum and Articles of Association</td><td></td></tr><tr><td>Certificate of incorporation</td><td></td></tr><tr><td>CR6</td><td></td></tr><tr><td>CR11</td><td></td></tr><tr><td>Tax clearance certificate</td><td></td></tr><tr><td>Business plan</td><td></td></tr><tr><td>Company profile</td><td></td></tr><tr><td>CVs of key personnel</td><td></td></tr><tr><td>Risk management policy</td><td></td></tr><tr><td>Anti-Money Laundering Policy</td><td></td></tr><tr><td>Operational procedure manuals</td><td></td></tr><tr><td>Disaster recovery policy</td><td></td></tr><tr><td>2 passport size colour photos for each director</td><td></td></tr><tr><td>Copy of IDs for each director</td><td></td></tr><tr><td>Proof of residence for each director (taken within 3 months)</td><td></td></tr></table></td></tr>
<tr><td colspan="2"></td></tr>
<tr><td>Reviewed by:</td><td>Name……
Signature……
Date……</td></tr>
</table>

Recommended by:	Name…… Signature…… Date……

SECOND SCHEDULE (*Rule45*)

ADVERTISING CODE

Advertising communication

1. An advertisement shall include the following—

(a) name of the securities dealer, registered office address of the securities dealer, licence number and logo of the securities dealer, if any.

(b) information which is accurate, true, fair, clear, complete, unambiguous and concise.

(c) standard warning in legible fonts (minimum 10 font size) which states investment in securities market are subject to market risks, read all the related documents carefully before investing. No addition or deletion of words shall be made to the standard warning. In audio-visual media-based advertisements, the standard warning in visual and accompanying voice over reiteration shall be audible in a clear and understandable manner.

(d) in case the mode of advertisement is SMS/Message/Pop-up, etc. and the details such as full name, logo, full registered office address, Commission registration numbers and standard disclaimer are not mentioned, then official website hyperlink has to be provided in such SMS/Message/Pop-up, etc. and the website must contain all such details.

(e) if the member is only a distributor (s) for any of the products mentioned in the advertisement, disclaimer that they are only distributor (s) of such products should be specifically mentioned in the disclaimer.

(f) in case any specific security or securities are displayed in the advertisement as examples, disclaimer that "The securities quoted are exemplary and are not recommendatory" should be mentioned.

Prohibitions

2. Advertisements shall not contain—

(a) anything which is prohibited for publication under the rules and the Act;

(b) statements which are false, misleading, biased or deceptive, based on assumptions or projections;

(c) any statement that is exaggerated or unwarranted or tagline that is inconsistent with or unrelated to the nature and risk and return profile of the product;

(d) any promise or guarantee of assured return to the general investors;

(e) any statement which directly or indirectly discredits other advertisements or securities dealer or make unfair comparisons;

(f) representations made about the performance or activities of the broker or securities dealer unless accompanied by data regarding performance, disclosures of all the risk factors, etc. and disclaimer that "Such representations are not indicative of future results". Such disclaimer shall be in the same font as the rest of the advertisement;

(g) superlative terms, such as best, number 1, one of the best, among market leaders, etc. unless such terms is provided by an entity independent of the securities dealer and its affiliates, and whose services are not procured by the securities dealer or any of its affiliates to assign the securities dealer such term.

Compliance and other requirements

3. Securities dealers shall be required to comply with the following—

(a) obtain prior approval for the advertisement or material from the ZSE at least seven days before issue;

(b) provide source references for statistical information including charts and graphs when used in an advertisement;

(c) where advertising claims are expressly stated to be based on or supported by independent research or assessment, the source and date of this should be indicated in the advertisement;

(d) in the event of suspension of any securities dealer by the ZSE, the securities dealer so suspended shall not issue any advertisement either singly or jointly with any other securities dealer, during the period of suspension;

(e) in the event of any proceeding or action initiated against a securities dealer by a regulatory body other than the ZSE, the ZSE reserves the right to direct the securities dealer to refrain from issuing any advertisement for such a period as it may deem fit.

Advertising procedures

4. Each member shall establish written procedures that are appropriate to its business, size, structure and customers in issuing adverts.

General standards of communication

5. (1) All member communications must be based on principles of fair dealing and good faith, must be fair and balanced, and must provide a sound basis for evaluating the facts in regard to any particular security or type of security, industry, or service. No member may omit any material fact or qualification if the omission, in light of the context of the material presented, would cause the communications to be misleading.

(2) No member may make any false, exaggerated, unwarranted, promissory or misleading statement or claim in any communication. No member may publish, circulate or distribute any communication that the member knows or has reason to know contains any untrue statement of a material fact or is otherwise false or misleading.

(3) Information may be placed in a legend or footnote only in the event that such placement would not inhibit an investor's understanding of the communication.

(4) Members must ensure that statements are clear and not misleading within the context in which they are made, and that they provide balanced treatment of risks and potential benefits. Advertisements must be consistent with the risks of fluctuating prices and the uncertainty of dividends, rates of return and yield inherent to investments.

(5) Members must consider the nature of the audience to which the communication will be directed and must provide details and explanations appropriate to the audience.

(6) Advertisements may not predict or project performance, imply that past performance will recur or make any exaggerated or unwarranted claim, opinion or forecast; provided, however, that this paragraph above does not prohibit—

(a) a hypothetical illustration of mathematical principles, provided that it does not predict or project the performance of an investment or investment strategy;

(b) an investment analysis tool, or a written report produced by an investment analysis tool; and

(c) a price target contained in a research report on debt or equity securities, provided that the price target has a reasonable basis, the report discloses the valuation methods used to determine the price

target, and the price target is accompanied by disclosure concerning the risks that may impede achievement of the price target.

Comparisons

6. Any comparison in advertisements on investments or services must disclose all material differences between them, including (as applicable) investment objectives, costs and expenses liquidity, safety, guarantees or insurance, fluctuation of principal or return, and tax features.

Tax considerations

7. (1) In advertisements and correspondence, references to tax-free or tax-exempt income must indicate which income taxes apply, or which do not, unless income is free from all applicable taxes.

(2) Advertisements may not characterize income or investment returns as tax-free or exempt from income tax when tax liability is merely postponed or deferred, such as when taxes are payable upon redemption.

(3) A comparative illustration of the mathematical principles of tax-deferred versus taxable compounding must meet the following requirements—

(a) the illustration must depict both the taxable investment and the tax-deferred investment using identical investment amounts and identical assumed gross investment rates of return, which may not exceed 10 percent per annum;

(b) the illustration must use and identify actual income tax rates;

(c) tax rates used in an illustration that is intended for a target audience must reasonably reflect its tax bracket or brackets as well as the tax character of capital gains and ordinary income;

(d) if the illustration covers the pay-out period for an investment, the illustration must reflect the impact of taxes during this period;

(e) the illustration may not assume an unreasonable period of tax deferral;

(f) the illustration must disclose, as applicable—

(i) the degree of risk in the investment's assumed rate of return, including a statement that the assumed rate of return is not guaranteed;

(ii) the possible effects of investment losses on the relative advantage of the taxable versus the tax-deferred investments;

(iii) the extent to which tax rates on capital gains and dividends would affect the taxable investment's return;

(iv) the fact that ordinary income tax rates will apply to withdrawals from a tax-deferred investment;

(v) its underlying assumptions; and

(vi) that an investor should consider his or her current and anticipated investment horizon and income tax bracket when making an investment decision, as the illustration may not reflect these factors.

Testimonials

8. (1) If any testimonial in an advertisement concerns a technical aspect of investing, the person making the testimonial must have the knowledge and experience to form a valid opinion.

(2) Advertisements or correspondence providing any testimonial concerning the investment advice or investment performance of a member or its products must prominently disclose the following: —

(a) the fact that the testimonial may not be representative of the experience of other customers;

(b) the fact that the testimonial is no guarantee of future performance or success;

(c) if one is paid for the testimonial, the fact that it is a paid testimonial.

Recommendations

9. (1) Advertisements that include a recommendation of securities must have a reasonable basis for the recommendation and must disclose, if applicable, the following: —

(a) that at the time the communication was published or distributed, the member was making a market in the security being recommended, or in the underlying security if the recommended security is an option or security future, or that the member or associated persons will sell to or buy from customers on a principal basis;

(b) that the member or any associated person that is directly and materially involved in the preparation of the content of the communication has a financial interest in any of the securities of the issuer whose securities are recommended, and the nature of the financial interest (including, without limitation, whether it consists of any option, right, warrant, future, long or short position), unless the extent of the financial interest is nominal; and

(c) that the securities dealer was manager or co-manager of a public offering of any securities of the issuer whose securities are recommended within the past twelve months.

(2) A member must provide, or offer to furnish upon request, available investment information supporting the recommendation. When a member recommends a corporate equity security, the member must provide the target price at the time the recommendation is made.

(3) An advertisement or correspondence may not refer, directly or indirectly, to past specific recommendations of the member that were or would have been profitable to any person; provided, however, that a communication or correspondence may set out or offer to furnish a list of all recommendations as to the same type, kind, grade or classification of securities made by the member within the immediately preceding period of not less than one year, if the communication or list—

(a) states the name of each such security recommended, the date and nature of each such recommendation (e.g., whether to buy, sell or hold), the market price at that time, the price at which the recommendation was to be acted upon, and the market price of each such security as of the most recent practicable date; and

(b) contains the following cautionary legend, which must appear prominently within the communication or list: "it should not be assumed that recommendations made in the future will be profitable or will equal the performance of the securities in this list."

Securities dealers website link

10. (1) Each member's websites must include a clear reference and hyperlink to—

(a) the initial webpage that the member intends to be viewed by investors; and

(b) any other webpage that includes a professional profile of one or more registered persons who conduct business with investors.

(2) The requirements of subrule 2.10(1) shall not apply to:—

(a) a member that does not provide products or services to investors; and

(b) a directory or list of registered persons limited to names and contact information.

General provisions

11. Securities dealers shall indicate ZSE membership in one or more of the following ways—

(a) in any advertisement that complies with the applicable standards of this Rule and neither states nor implies that ZSE, or any other corporate

name or facility owned by ZSE, or any other regulatory organization endorses, indemnifies, or guarantees the member's business practices, selling methods, the class or type of securities offered, or any specific security, and provided further that any reference to the department's review of a communication is limited to either "Reviewed by ZSE" or "ZSE Reviewed";

(b) on a member's website, provided that the member provides a hyperlink to ZSE's internet home page, www.ZSE.co.zw, in close proximity to the member's indication of ZSE membership. A member is not required to provide more than one such hyperlink on its website. If the member's website contains more than one indication of ZSE membership, the member may elect to provide any one hyperlink in close proximity to any reference reasonably designed to draw the public's attention to ZSE membership.

Public appearances

12. (1) When sponsoring or participating in a seminar, forum, radio or television interview, or when otherwise engaged in public appearances or speaking activities that are unscripted and do not constitute advertisements or correspondence ("public appearance"), persons associated with members must follow the standards of this code.

(2) If an agent of the securities dealer recommends a security in a public appearance, the agent must have a reasonable basis for the recommendation. The securities dealer's agent must disclose, as applicable—

(a) that the representative has a financial interest in any of the securities of the issuer whose securities are recommended, and the nature of the financial interest (including, without limitation, whether it consists of any option, right, warrant, future, long or short position), unless the extent of the financial interest is nominal; and

(b) any other actual, material conflict of interest of the representative or securities dealer of which the representative knows or has reason to know at the time of the public appearance.

(3) Each securities dealer shall establish written procedures that are appropriate to its business, size, structure, and customers to supervise its representative' public appearances.

(4) Such procedures must provide for the education and training of representative who make public appearances as to the firm's procedures, documentation of such education and training, and surveillance and follow-up to ensure that such procedures are implemented and adhered to.

(5) Evidence that these supervisory procedures have been implemented and carried out must be maintained and made available to ZSE upon request; and

(6) Any scripts, slides, hand-outs or other written (including electronic) materials used in connection with public appearances are considered communications for purposes of this Rule, and members must comply with all applicable provisions of this Rule based on those communications' audience, content and use.

THIRD SCHEDULE (Rules 11 (3), 13(1), 17, 18(1), (2), 19, 20(1), (2), 26(2), 29(1), (4), 30(3), 31(1), (2), (3), (4), 36(2), 39(1) (a)-(m), 42(1) (2) (3), 45(1), (2), (3), 47, 48, 49, 50, 51, 52(2), (3), 53, 54, 56, 57, 62(1), (2), (3), 64 and 85)

PENALTIES

CONTRAVENTION	RULE	PENALTY
1. Providing market making quotes outside of specified spread.	11 (3)	Up to level 3
2. Failure to report details of market making trades executed on a daily basis.	13 (1)	Up to level 2
3. Failure to notify the exchange of change in control of shareholding.	17	Up to level 2
4. Failure to disclose affiliation or ownership by listed company. Failure to disclose trading activities on behalf of affiliated listed firm.	18 (1), (2)	Up to level 3
5. Failure to furnish the ZSE with information.	19	Up to level 2
6. Impersonation of membership.	20(1), (2)	Up to level 4
7. Failure to cooperate or hindering an inspector during the course of his or her duties.	26 (2)	Up to level 2
8. Failure to comply with the requirement to employ a compliance officer. Exceeds three months without appointing substantive compliance officer	29(1), (4)	Up to level 3
9. Failure to appoint a substantive principal officer within three months of the position becoming vacant.	30(3)	Up to level 3
10. Failure to comply with the internal control and risk management requirements.	31(1), (2), (3), (4)	Up to level 3

11. Failure to comply with ZSE directives relating to halts. Deleting orders from the central order book during a halt	36(2)	Up to level 3
12. Failure to comply with continuing obligations.	39 (1) (a)-(m)	Up to level 3
13. Failure to detect market abuse.	42(1), (2), (3)	Up to level 4
14. Failure to comply with advertising code.	45(1), (2), (3)	Up to level 2
15. Failure to maintain client acceptance and maintenance procedures.	47	Up to level 2
16. Failure to obtain prior written authorisation from client to operate a discretionary mandate account.	48	Up to level 2
17. Failure to ensure that instructions received on behalf of a client are coming from authorised personnel.	49	Up to level 2
18. Failure of a member to transact in a just and equitable manner.	50	Up to level 2
19. Failure to adhere to best execution principle.	51	Up to level 3
20. Failure to remit interest accrued on client's trust account. Implementing unapproved commission sharing agreement.	52 (2), (3)	Up to level 3
21. Failure to comply with rebate requirements.	53	Up to level 3
22. Failure to issue a client's contract note in respect of a transaction in securities executed through the ATS.	54	Up to level 3
23. A member who accepts a deposit of notes and coins not channelled through the bank, for the purposes of buying securities on the market.	56	Up to level 3
24. Failure to provide a client statement to client.	57	level 1
25. Failure to comply with complaints handling procedures.	62(1), (2), (3)	level 1
26. Failure to maintain the records of the complaints	64	Up to level 3
27. Failure to maintain trading records for the minimum specified records	85	Up to level 3

APPENDIX 1		
LEVELS	TYPE OF OFFENCE	Maximum Amount
ONE	Minor offences that will attract a fine and or written warning	USD5 000
TWO	Moderate to severe offences that will attract a fine, a written warning and or a public censure	USD$20 000
THREE	Major offences that can lead to a fine, public censure, suspension of membership and or termination of membership.	USD$50 000
FOUR	Major offences that can lead to a fine, public censure, suspension of membership, termination of membership, civil or criminal imprisonment.	USD$100 000

FOURTH SCHEDULE (*Rules 39*)

ZSE MEMBERSHIP AND OPERATION FEES

Category	**USD**
Membership Application fees (non- refundable)	
Individual	500
Corporate	1 000
Non practising	500
Market Maker	1 300
Resubmissions of application documents	
Individual	100
Corporate	200
Non practising	150
Market Maker	300
Annual membership fees (subscriptions)	
Individual	500
Associate	500

Non practising	5 *per centum* of rebate earned or 1 000 whichever is higher
Corporate	1 000
Automated Trading System Training	
Initial training—Individual	200
Initial training—Corporate	350
Back office services	
ZSE Oral interview	200
ZSE sponsor exam—online	120
Pre-opening Inspection fee	300
Retraining of traders	120
ATS Access fees	200 + 1 *per centum* of previous month brokerage (where brokerage exceeds 2 500 and 20 000 per month)
Providing ZSE Facilities to members with disrupted services	50
Confirmation of ZSE Membership to other exchanges	20
Trade cancellation (both sides)	20
Trade reallocation	20
Trade amendment	20
Application fee for removal of shares to	100
external register	
ATS Order cancellation	15
Price confirmation (Deceased Estates or other related requests)	5
Valuation of Estates	20

Penalties	
Reactivation of a suspended profile	100
Understating of NMI Rebate	150 *per centum* of understated amount